

Weekly Market Learning Review - 2026-07-01

Week in five points

- AI memory demand persisted, but the focus shifted from Micron's strong guidance to customer costs, capex returns, and future oversupply.
- Hormuz remained open but impaired; oil calmed as attacks paused, while shipping, insurance, refining, and gasoline constraints persisted.
- Korea's large semiconductor expansion strengthened near-term equipment demand and made 2027-2028 oversupply risk more concrete.
- Technology markets swung sharply between selloffs and chip-led rebounds, with quarter-end flows obscuring the fundamental signal.
- New concerns emerged around Strategy becoming a possible Bitcoin seller and greater presidential control of regulators.

What actually mattered

- Micron supplied earnings evidence of strong current AI-memory demand; later Korean factory plans supplied evidence of a large future capacity response.
- Hormuz traffic, vessel attacks, insurance, refinery output, and product shipments mattered more than diplomatic headlines alone.
- Apple price increases showed that scarce memory can benefit suppliers while pressuring customer margins or demand.
- Volkswagen's reported restructuring and Chinese share gains in Europe persisted as a structural auto-industry story.
- Strategy's possible Bitcoin sales challenged the assumption that it will remain a permanent source of demand.

What was mostly noise

- Wendy's meme-stock surge disappeared from later briefs without evidence of business improvement.
- Daily reversals in Korean chip shares and indexes were heavily affected by leverage, profit-taking, and quarter-end positioning.
- Single-session chip rallies did not establish durable market breadth or resolve questions about AI returns.
- Conflicting gold levels and isolated oil-price targets lacked enough consistent evidence to guide the weekly assessment.
- The Anthropic-Alibaba allegation received early attention but produced no supplied follow-up proving enforcement or a lasting market effect.

Prediction scorecard

- unresolved: Memory supply visibility should remain good for six to twelve months, while oversupply in late 2027 will become a major market debate. Evidence: Current shortages and Korean capacity plans fit the setup, but neither the six-to-twelve-month supply outlook nor late-2027 pricing can yet be tested. Calibration lesson: Separate current scarcity from evidence of future oversupply.
- unresolved: TSMC is expected to retain or widen its lead over Samsung in AI accelerators and advanced manufacturing. Evidence: No supplied yield, margin, market-share, or customer-shift evidence tested this claim. Calibration lesson: A repeated competitive view is not an observed outcome.
- unresolved: Large semiconductor companies will get larger because technology, equipment access, and execution create scale advantages. Evidence: Large Korean spending supports the scale argument, but no supplied market-share change confirms it. Calibration lesson: Capital plans do not prove future concentration.
- unresolved: A supply spike around early 2028 could exceed demand, with semiconductor stocks potentially correcting earlier as markets anticipate it. Evidence: Four planned Korean fabs make the risk more concrete, but no utilization decline, weak orders, or supply spike occurred. Calibration lesson: Treat long-dated cycle forecasts as scenarios until operating data changes.
- unresolved: Goldman Sachs was reported to favor continued exposure to North Asian winners in the second half

because of earnings growth. Evidence: The second half had barely begun, and volatile chip prices did not establish relative performance or earnings upgrades. Calibration lesson: Short price moves cannot validate a half-year allocation view.

- unresolved: The legal review could clear a major hurdle to the current HDFC Bank CEO's reappointment.

Evidence: The review was favorable, but no RBI approval or formal reappointment was supplied. Calibration lesson: An intermediate procedural step is not the final outcome.

- unresolved: Quarter-end rebalancing flows may continue affecting markets for another day or two. Evidence: June 30 showed quarter-end strength and chip leadership, but the cause was not established. Calibration lesson: Do not label unexplained price action as confirming a flow forecast.

- unresolved: July is likely to start relatively positively if the week's event risks do not deliver damaging news.

Evidence: No July 1 market brief was supplied. Calibration lesson: Conditional forecasts require both the condition and the outcome to be observed.

- unresolved: Second-quarter earnings are likely to be good because company expectations have been guided low and may be easy to beat. Evidence: The supplied week did not include a broad second-quarter earnings season. Calibration lesson: One company beat cannot validate a market-wide earnings claim.

- unresolved: Payrolls are not expected to be the week's main market driver, although an unusual result could trigger an outsized reaction in thin holiday trading. Evidence: No payroll release or market reaction was supplied. Calibration lesson: Wait for the named event before scoring.

- unresolved: Markets may overinterpret central-bank remarks even when the official is not trying to provide guidance. Evidence: No specific ambiguous remark and resulting market reaction was documented. Calibration lesson: A plausible behavioral pattern still needs an observable test.

- unresolved: The dollar may have more near-term upside, but later in the year it is expected to return to a downtrend. Evidence: The supplied material did not establish the dollar's path after June 29, and the later-year horizon remains open. Calibration lesson: Two-stage forecasts need separate checkpoints.

Market regime

- Growth: Resilient but uneven; weak farm economics, European auto pressure, and customer spending cuts temper the AI-led strength.

- Inflation: Mixed and still uncertain: lower crude helps, but gasoline, memory, shipping, and core-price pressures remain.

- Rates: Policy direction is unresolved; supplied views ranged from holding steady to further hikes.

- Liquidity: Quarter-end flows and concentrated, leveraged technology exposure made short-term signals less reliable.

- Risk appetite: Choppy and selective, with repeated moves into and out of semiconductors rather than a clear broad trend.

- Confidence: medium

Historical-parallel update

- The dot-com comparison became more specific: current AI demand produced real memory revenue, but higher customer costs and massive factory plans strengthened the overinvestment comparison.

- The Gulf War comparison weakened when oil stayed calm despite attacks, then regained relevance when Hormuz traffic was reported far below normal; physical flows remained the key difference.

- The semiconductor capital-cycle analogy moved from a general warning to a dated risk after Korea confirmed four fabs and infrastructure support.

- A new concentration comparison appeared on June 30, but one chip-led rally was insufficient to establish a persistent narrow-market regime.

Lessons learned

- A supplier's pricing power can become a customer's margin or demand problem.

- An open shipping route can remain economically impaired by low traffic, insurance costs, crew risk, and refining constraints.

- Real demand and overinvestment can exist at the same time; timing determines who benefits.

- Repeated commentary is not confirmation of a prediction.

- Separate event-driven price moves from changes in earnings, cash flow, capacity, or physical supply.

What to watch next week

- Check whether Hormuz traffic, insurance costs, refinery output, and product shipments normalize together.
- Watch for confirmed Korean fab schedules, equipment orders, power connections, and binding customer contracts.
- Compare AI customer revenue and free cash flow with rising memory and infrastructure costs.
- Look for filings confirming Strategy's Bitcoin sales, cash needs, and valuation relative to its holdings.
- Review payroll, inflation, and central-bank evidence before updating the rates regime.

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